1. Effective Rvenue Deficit (ERD) is not a terminology used by other economies of the world (as they use ‘accrual basis’ accounting in their expenditures statements). In India by ERD the GoI means the Revenue Deficit (RD) after deducting its expenditures on account of the GoCA (Grants for Capital Assets) from its existing RD. The GoCA includes the GoI grants forwarded to the states for the implementation of the Centrally sponsored programmes such as Pradhan Mantri Gram Sadak Yojana, Accelerated Irrigation Benefit Programme, Jawaharlal Nehru National Urban Renewal Mission, etc. – these expenses though they are shown by the government in its Revenue Expenditures they are involved with asset creation and can not be considered completely ‘unproductive’ like other items put in the Revenue Expenditures – the reason why the GoI does not consider them as part of its RD and a new concept ERD has been eveloved.
2. As per a Ministry of Finance release dated 29th March 2013, the CAD of India has reached to the level of 6.7 per cent by the 3rd Quarter (October-December) of the fiscal 2012-13 which is the highestever level in India’s history.